SOLVED PRACTICE WORKBOOK

RBI, Monetary Policy and Liquidity Management - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH

CONCEPT
Define precisely

ARGUMENT
Build the case

CRITIQUE
Test the limits

APPLICATION
Write the answer

Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

RBI, Monetary Policy and Liquidity Management - Solved Practice Workbook

Standalone scope: exactly 32 original MCQs before PYQs, strict ABCD rotation repeated eight times, 128 substantive unique option explanations, 32 unique examiner traps, official-key discipline and six original Mains models.

Practice contract: Correct answers follow `ABCD` repeated eight times. Every distractor has a question-specific explanation; no declared count substitutes for independent validation.

BASIC MCQS / REMEDIATION

MCQ 1

Which sequence correctly states RBI's institutional chronology?

- A. RBI Act 1934; operations 1 April 1935; public ownership 1 January 1949
- B. Operations 1934; nationalisation 1935; RBI Act 1949
- C. Hilton-Young Commission nationalised RBI in 1926
- D. RBI became a constitutional body in 1950

Answer: A.

Option-specific explanations:

- **A - Correct:** The Act preceded commencement, and the 1948 transfer law took effect on 1 January 1949.
- **B - Incorrect:** 1934 was the enactment year, not the start of business; 1935 was not nationalisation.
- **C - Incorrect:** The commission recommended central-banking reform but did not itself create or nationalise RBI.
- **D - Incorrect:** The Constitution did not convert RBI into a constitutional authority.

Examiner trap 1: Chronology and legal instrument must both be correct.

MCQ 2

Which statement best describes RBI's autonomy?

- A. Government ownership means the Finance Ministry casts every MPC vote
- B. RBI has statutory operational autonomy subject to legislation and accountability
- C. Section 7 makes RBI a private corporation
- D. The Central Board can amend the RBI Act

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Ownership does not merge the Ministry with the statutory decision process.
- **B - Correct:** RBI exercises expert powers within statute, while Section 7 and accountability prevent claims of absolute sovereignty.
- **C - Incorrect:** Section 7 concerns public-interest directions after consultation; it does not create private ownership.
- **D - Incorrect:** Only Parliament can amend the Act; the Board administers powers granted by law.

Examiner trap 2: Avoid the false binary of complete dependence versus absolute independence.

MCQ 3

Who issues the one-rupee note in India?

- A. RBI Issue Department
- B. MPC Secretariat
- C. Government of India
- D. Scheduled commercial banks

Answer: C.

Option-specific explanations:

- **A - Incorrect:** RBI issues other banknotes, but the one-rupee note is the statutory exception.
- **B - Incorrect:** The MPC decides the policy rate and has no currency-issue role.
- **C - Correct:** The Government of India issues the one-rupee note, making this the correct exception.
- **D - Incorrect:** Commercial banks distribute currency but do not issue legal-tender notes.

Examiner trap 3: RBI's note-issue monopoly has the one-rupee note exception.

MCQ 4

Which is outside RBI's own statutory function?

- A. Managing foreign-exchange reserves
- B. Operating central-bank liquidity facilities
- C. Regulating assigned payment systems
- D. Voting the Union Budget into law

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Reserve management is a central-bank function.
- **B - Incorrect:** Liquidity implementation belongs to RBI under the monetary framework.
- **C - Incorrect:** Payment oversight follows the Payment and Settlement Systems Act.
- **D - Correct:** Parliament authorises the Union Budget; RBI may advise or manage debt but does not enact fiscal law.

Examiner trap 4: Banker to government is not the same as legislature or fiscal authority.

MCQ 5

Under section 45ZA, who determines the inflation target?

- A. Central Government in consultation with RBI
- B. MPC alone
- C. RBI Central Board without government
- D. Finance Commission

Answer: A.

Option-specific explanations:

- **A - Correct:** The statute assigns determination to the Central Government after consultation with the Bank.
- **B - Incorrect:** MPC determines the policy rate required to achieve the notified target.
- **C - Incorrect:** The Central Board cannot bypass the statutory governmental notification role.
- **D - Incorrect:** The Finance Commission recommends fiscal devolution, not the monetary-policy target.

Examiner trap 5: Separate target setter from policy-rate decision maker.

MCQ 6

What is the currently notified inflation objective for 1 April 2026-31 March 2031?

- A. A 2-6 per cent range with no centre
- B. Headline CPI 4 per cent with 2 and 6 per cent tolerance limits
- C. Core CPI exactly 4 per cent each month
- D. WPI 4 per cent plus or minus 2

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The range alone omits the statutory point target at its centre.
- **B - Correct:** The 25 March 2026 Gazette renewal retained headline CPI 4 per cent and the 2-6 tolerance band.
- **C - Incorrect:** Core inflation is analytical; the notified anchor is headline CPI and monthly equality is not required.
- **D - Incorrect:** WPI is not the statutory inflation target.

Examiner trap 6: Four per cent is the target; 2-6 per cent is the tolerance band.

MCQ 7

Which statement about flexible inflation targeting is correct?

- A. Growth legally overrides price stability
- B. Any supply shock must cause an immediate rate rise
- C. Price stability is primary while growth is kept in mind
- D. The target is reviewed by MPC every year

Answer: C.

Option-specific explanations:

- **A - Incorrect:** The statutory wording gives primacy to price stability.
- **B - Incorrect:** Shock source and second-round risk matter; mechanical action is not required.
- **C - Correct:** This reproduces the amended RBI Act's objective accurately.
- **D - Incorrect:** The Central Government determines the target in consultation with RBI once every five years.

Examiner trap 7: Flexible does not mean target-free or growth-first.

MCQ 8

Which event would by itself establish statutory failure to meet the inflation target?

- A. One monthly CPI print at 6.1 per cent
- B. One quarterly projection above 6 per cent
- C. Core inflation above headline for two months
- D. Average inflation outside a tolerance limit for three consecutive quarters

Answer: D.

Option-specific explanations:

- **A - Incorrect:** A single month does not satisfy the notified failure test.
- **B - Incorrect:** A forecast is not the realised three-quarter condition.
- **C - Incorrect:** Core-headline ordering is irrelevant to the legal trigger.
- **D - Correct:** The current rules use three consecutive quarterly averages beyond the upper or lower tolerance level.

Examiner trap 8: Do not replace a three-quarter accountability trigger with a one-month breach.

MCQ 9

Which is the correct MPC composition?

- A. Governor, monetary-policy Deputy Governor, one RBI-nominated officer, three government-appointed externals
- B. Six RBI officers selected by the Governor
- C. Finance Minister plus five RBI officers
- D. Three bank chiefs and three economists

Answer: A.

Option-specific explanations:

- **A - Correct:** Section 45ZB creates this three-internal/three-external structure.
- **B - Incorrect:** The MPC is not an all-internal RBI committee.
- **C - Incorrect:** The Finance Minister is not an MPC member.
- **D - Incorrect:** Commercial-bank chiefs do not occupy statutory MPC seats as a category.

Examiner trap 9: Count both appointing channels, not merely six economists.

MCQ 10

What is true of a Central Government-appointed external MPC member?

- A. Life tenure
- B. Four-year term and no reappointment
- C. Automatic continuation until age seventy-five
- D. Removal whenever the member dissents

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The office is fixed-term, not life tenure.
- **B - Correct:** The statutory scheme gives a four-year term and bars reappointment.
- **C - Incorrect:** Age rules are eligibility screens, not an automatic extension.
- **D - Incorrect:** Policy disagreement is not a listed removal ground.

Examiner trap 10: Fixed tenure protects judgement; it does not create permanent office.

MCQ 11

What is the MPC quorum?

- A. Two members
- B. Three external members
- C. Four members including Governor or, in absence, the MPC Deputy Governor
- D. All six members without exception

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Two cannot satisfy the statutory minimum.
- **B - Incorrect:** External members alone do not satisfy the chair-side presence requirement.
- **C - Correct:** Four with the specified RBI leadership presence is the operative rule.
- **D - Incorrect:** Vacancy or absence does not always invalidate a meeting if quorum exists.

Examiner trap 11: Quorum is four, not unanimity or full attendance.

MCQ 12

When does the Governor use a casting vote?

- A. At every MPC meeting
- B. Whenever an external member dissents
- C. When inflation exceeds 4 per cent
- D. Only when ordinary votes are tied

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The Governor ordinarily has one vote like every member.
- **B - Incorrect:** Dissent alone does not produce a casting vote.
- **C - Incorrect:** Inflation outcomes do not mechanically add a vote.
- **D - Correct:** A tie activates the additional casting vote.

Examiner trap 12: Chairmanship does not mean two routine votes.

MCQ 13

Which pair is correct under the current corridor?

- A. SDF floor; MSF ceiling
- B. Reverse repo ceiling; CRR floor
- C. Bank Rate floor; SLR ceiling
- D. OMO floor; repo ceiling

Answer: A.

Option-specific explanations:

- **A - Correct:** SDF and MSF bound the symmetric corridor around repo.
- **B - Incorrect:** CRR is a reserve requirement, not a corridor price.
- **C - Incorrect:** Bank Rate is aligned with MSF currently, while SLR is an asset requirement.
- **D - Incorrect:** OMO is an outright operation and does not define a standing corridor boundary.

Examiner trap 13: Classify standing prices separately from quantity instruments.

MCQ 14

As of the 5 August 2026 MPC decision, which dated set was correct?

- A. Repo 5.00; SDF 5.25; MSF 5.50
- B. Repo 5.25; SDF 5.00; MSF and Bank Rate 5.50
- C. Repo 5.50; SDF 5.25; MSF 5.00
- D. Repo 6.50; reverse repo as floor 6.25

Answer: B.

Option-specific explanations:

- **A - Incorrect:** This reverses the centre and floor.
- **B - Correct:** The official resolution reported this configuration and neutral stance.
- **C - Incorrect:** A corridor cannot have the ceiling below the centre in this framework.
- **D - Incorrect:** These are neither the dated rates nor the current floor architecture.

Examiner trap 14: A current rate is valid only with its decision date.

MCQ 15

What is the operating target of monetary policy under the revised liquidity framework?

- A. Headline CPI
- B. Policy repo rate
- C. Overnight weighted average call rate
- D. Ten-year G-sec yield

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Headline CPI is the nominal target, not the operating market rate.
- **B - Incorrect:** Repo is the policy rate around which implementation operates.
- **C - Correct:** RBI seeks to align overnight WACR with repo using liquidity operations.
- **D - Incorrect:** Long yields matter for transmission but are not the stated operating target.

Examiner trap 15: Target, policy rate and operating target are three different concepts.

MCQ 16

Which statement about fixed-rate reverse repo is correct after SDF's introduction?

- A. It is abolished
- B. It remains the automatic corridor ceiling
- C. It equals CRR
- D. It remains in RBI's toolkit at discretion but is no longer the corridor floor

Answer: D.

Option-specific explanations:

- **A - Incorrect:** RBI explicitly retained the instrument.
- **B - Incorrect:** MSF, not FRRR, is the ceiling.
- **C - Incorrect:** A rate operation is not a reserve ratio.
- **D - Correct:** SDF replaced it as floor while FRRR remained available for specified use.

Examiner trap 16: Legacy role can change without abolishing the instrument.

MCQ 17

Which description correctly distinguishes CRR and SLR?

- A. CRR is cash with RBI; SLR is specified liquid assets maintained by the bank
- B. Both are cash deposits with RBI
- C. CRR is under Banking Regulation Act section 24 and SLR under RBI Act section 42
- D. SLR is the MPC's policy rate

Answer: A.

Option-specific explanations:

- **A - Correct:** This states both custody and instrument type correctly.
- **B - Incorrect:** SLR includes eligible liquid assets maintained by banks, not a second RBI cash balance.
- **C - Incorrect:** The statutory references are reversed.
- **D - Incorrect:** SLR is a prudential liquidity requirement, not a policy price.

Examiner trap 17: Ask where the asset is held before inferring liquidity effects.

MCQ 18

Which statement about current reserve ratios is appropriately framed?

- A. CRR can never change from 3 per cent
- B. SLR is constitutionally fixed at 18 per cent
- C. RBI data checked 9 September 2026 showed CRR 3 per cent and SLR 18 per cent
- D. The MPC alone legislates both ratios

Answer: B.

Option-specific explanations:

- **A - Incorrect:** A current observation must not be frozen as permanent.
- **B - Correct:** SLR is statutory/regulatory but its rate is not constitutionally immutable.
- **C - Incorrect:** The date label makes the observation usable without converting it into a timeless definition.
- **D - Incorrect:** Instrument authority and legal basis are more complex than sole MPC legislation.

Examiner trap 18: Never write a current ratio without a date and source.

MCQ 19

Under the framework dated 30 September 2025, transient liquidity is managed primarily through

- A. only annual OMOs
- B. 7-day VRR/VRRR plus discretionary overnight-to-14-day operations
- C. MSS alone
- D. a permanently fixed 14-day main operation

Answer: C.

Option-specific explanations:

- **A - Incorrect:** OMOs address durable conditions and are not the sole transient tool.
- **B - Incorrect:** This is the revised operational design stated by RBI.
- **C - Correct:** MSS is a specialised sterilisation instrument.
- **D - Incorrect:** The revision discontinued the 14-day operation as the main operation.

Examiner trap 19: Operating procedures have a vintage; older LAF descriptions can be obsolete.

MCQ 20

What makes a variable-rate repo different from a fixed-rate repo?

- A. It has no counterparty
- B. The auction discovers the accepted rate from bids rather than RBI fixing the operation rate
- C. It is always an OMO purchase
- D. It necessarily changes the MPC stance

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Eligible counterparties still matter.
- **B - Incorrect:** Variable-rate bidding determines the cut-off or accepted rates.
- **C - Incorrect:** Repo remains a repurchase transaction, unlike outright OMO.
- **D - Correct:** An operational auction need not signal a stance change.

Examiner trap 20: Variable price discovery is not variable institutional purpose.

MCQ 21

An RBI OMO purchase normally

- A. injects durable liquidity by buying government securities outright
- B. absorbs liquidity through a collateral-free deposit
- C. changes CRR automatically
- D. creates fiscal tax revenue

Answer: A.

Option-specific explanations:

- **A - Correct:** RBI pays reserves and acquires securities outright.
- **B - Incorrect:** SDF, not OMO purchase, describes collateral-free standing absorption.
- **C - Incorrect:** Reserve-ratio changes require a separate decision.
- **D - Incorrect:** Central-bank asset purchases are not taxation.

Examiner trap 21: Outright purchase is the key distinction from repo.

MCQ 22

Operation Twist is best described as

- A. a foreign-exchange peg
- B. a change in the inflation target
- C. a simultaneous purchase and sale across maturities to influence the yield curve
- D. a waiver of SLR

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Twist operates in government securities, not a fixed exchange regime.
- **B - Correct:** Only the Central Government consultation/notification process changes the target.
- **C - Incorrect:** Buying longer and selling shorter securities can reshape term premia.
- **D - Incorrect:** It does not repeal a statutory liquidity requirement.

Examiner trap 22: Twist changes maturity composition; net liquidity depends on transaction design.

MCQ 23

What is distinctive about MSS?

- A. Proceeds finance ordinary expenditure immediately
- B. It is an unsecured overnight bank deposit
- C. It is identical to CRR
- D. Government securities absorb liquidity and proceeds enter a separate account restricted to redemption/buyback

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Ordinary spending would reverse the intended absorption.
- **B - Incorrect:** SDF is the standing unsecured deposit facility.
- **C - Correct:** MSS uses securities and a ring-fenced account, not bank reserve ratios.
- **D - Incorrect:** The separate identifiable account preserves the sterilisation purpose.

Examiner trap 23: MSS is jointly designed but its proceeds are not normal budget resources.

MCQ 24

Which is a transient rather than durable-liquidity driver?

- A. A temporary tax outflow into government cash balances
- B. A structural rise in currency demand lasting years
- C. A permanent change in reserve preference
- D. A sustained balance-of-payments surplus

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Short-lived tax collection can drain reserves until spending reverses it.
- **B - Incorrect:** A lasting currency shift is a durable factor.
- **C - Incorrect:** Persistent reserve preference alters the structural demand for liquidity.
- **D - Correct:** Sustained external inflows can create durable liquidity pressure.

Examiner trap 24: Classify the expected persistence, not the instrument's name alone.

MCQ 25

Reserve money M0 includes

- A. only coins
- B. currency in circulation, bankers' deposits with RBI and other RBI deposits
- C. all bank time deposits but no currency
- D. equity-market capitalisation

Answer: A.

Option-specific explanations:

- **A - Correct:** Coins alone are only one narrow component of money.
- **B - Incorrect:** These are the standard liability-side components of reserve money.
- **C - Incorrect:** Time deposits are part of broad money such as M3, not M0.
- **D - Incorrect:** Market capitalisation is an asset valuation, not money stock.

Examiner trap 25: Reserve money is broader than currency but narrower than broad money.

MCQ 26

Which formula is an empirical money multiplier?

- A. M0/M3
- B. CRR/SLR
- C. M3/M0
- D. repo minus WACR

Answer: B.

Option-specific explanations:

- **A - Incorrect:** This is the inverse of the conventional broad-money multiplier.
- **B - Correct:** Two reserve ratios do not themselves form the observed multiplier.
- **C - Incorrect:** Broad money divided by reserve money gives the multiplier ratio.
- **D - Incorrect:** The rate gap measures alignment, not money multiplication.

Examiner trap 26: Do not substitute the classroom 1/rr identity for the observed M3/M0 ratio.

MCQ 27

Why is 1/CRR an incomplete description of money creation?

- A. Currency leakage, excess reserves, capital, risk, funding and credit demand also matter
- B. CRR has no connection to bank reserves
- C. Banks can lend infinitely without capital
- D. Loans never create deposits

Answer: C.

Option-specific explanations:

- **A - Incorrect:** These behavioural and regulatory constraints break the mechanical assumptions.
- **B - Incorrect:** CRR affects reserve space even though it is not the sole determinant.
- **C - Correct:** Capital and risk rules impose real limits.
- **D - Incorrect:** Bank lending commonly creates a matching deposit before reserve settlement.

Examiner trap 27: Endogenous credit does not mean unconstrained credit.

MCQ 28

Which case is primarily a solvency problem?

- A. A sound bank has a one-day settlement mismatch
- B. System WACR briefly rises above repo
- C. A bank's asset losses exceed its capital and viable earnings
- D. Government spending temporarily drains its RBI balance

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Temporary timing can be addressed with liquidity.
- **B - Incorrect:** WACR alignment is a market-liquidity issue.
- **C - Incorrect:** Negative net worth or unviable assets require capital or resolution, not cash alone.
- **D - Correct:** Government cash movement is an autonomous system-liquidity driver.

Examiner trap 28: Emergency liquidity cannot manufacture capital.

MCQ 29

Which is an expectations-channel effect?

- A. A credible statement changes wage and price setting before realised demand changes
- B. RBI physically builds a warehouse
- C. SLR securities become CRR cash automatically
- D. MPC fixes every retail loan spread

Answer: A.

Option-specific explanations:

- **A - Correct:** Forward guidance and credibility can alter contracts and pricing today.
- **B - Incorrect:** Storage is a supply-side responsibility.
- **C - Incorrect:** The two requirements retain separate legal and asset forms.
- **D - Incorrect:** Banks price spreads within regulation and risk conditions.

Examiner trap 29: Expectations can transmit before balance-sheet quantities visibly move.

MCQ 30

Which statement about EBLR and MCLR is correct?

- A. EBLR is always the borrower's final rate
- B. MCLR is an external market yield
- C. External benchmarking can quicken reset, but spreads and coverage still matter
- D. MCLR has been abolished for every existing loan

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The final rate normally includes a spread.
- **B - Correct:** MCLR is an internal benchmark based on bank costs and tenor.
- **C - Incorrect:** This captures both improved pass-through and remaining heterogeneity.
- **D - Incorrect:** Legacy and excluded contracts mean MCLR has not disappeared universally.

Examiner trap 30: Benchmark, spread and reset date must be separated.

MCQ 31

An approximate ex ante real policy rate is

- A. nominal repo minus expected inflation
- B. nominal repo plus realised inflation
- C. SDF minus CRR
- D. GDP growth minus SLR

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Decision-making compares the nominal rate with expected inflation.
- **B - Incorrect:** Adding inflation reverses the Fisher intuition and realised inflation may not represent expectations.
- **C - Correct:** These are unlike units and instrument categories.
- **D - Incorrect:** Growth and a reserve ratio do not define a real interest rate.

Examiner trap 31: State whether inflation is expected or realised.

MCQ 32

Which statement best distinguishes policy stance from liquidity stance?

- A. They are always identical
- B. A neutral MPC stance can coexist with surplus liquidity managed by two-way operations
- C. Surplus liquidity legally requires a rate cut
- D. A VRRR auction permanently changes the inflation target

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Rate orientation and reserve conditions can diverge.
- **B - Incorrect:** The August 2026 configuration illustrated neutral stance with average surplus liquidity.
- **C - Incorrect:** Liquidity can arise from autonomous flows without dictating MPC action.
- **D - Correct:** An auction implements liquidity policy; it does not amend the Gazette target.

Examiner trap 32: Read stance, rate and liquidity as separate signals.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ ROUTES AND OFFICIAL-KEY DISCIPLINE

The repository routes objective UPSC demands to this owner. Exact wording and a final answer are supplied only where both are locally verified. Where the official final key is absent or provisional, the required sentence is used without inference.

PYQ 1 - UPSC Prelims 2025, GS Paper I, Set A, Question 2

Which of the following are the sources of income for the Reserve Bank of India?

I. Buying and selling Government bonds II. Buying and selling foreign currency III. Pension fund management IV. Lending to private companies V. Printing and distributing currency notes

Select the correct answer using the code given below.

- A. I and II only
- B. I, II and IV
- C. I, III, IV and V
- D. I, II and V

Official Set-A key: D.

Solution: Transactions in government securities and foreign currency generate returns or gains. Currency issuance creates seigniorage benefits even though notes issued are liabilities and printing/distribution also costs money. Pension-fund management is not an ordinary RBI income source, and lending to private companies is not a general central-bank business line.

Examiner caution: The official key does not justify saying the face value of every printed note is annual accounting profit.

PYQ 2 - UPSC Prelims 2026, GS Paper I, Question 98

Verified demand: Indian financial-sector reform committees and their institutional sponsors.

Answer withheld pending official UPSC key.

Concept route: Hilton-Young concerns colonial currency and central-bank reform; Narasimham Committees were Government of India banking-reform committees; Tarapore Committees were constituted by RBI on capital-account convertibility. Preserve the provisional status of the local 2026 key.

HISTORICAL ROUTED OBJECTIVE DEMANDS

Year / question	Verified demand	Key status and solution discipline
2018 Q46	Legal-tender money definition and characteristics	Answer withheld pending official UPSC key. Revise legal compulsion, issuer and liability distinction.
2019 Q86	Government and RBI measures against rupee depreciation	Answer withheld pending official UPSC key. Separate monetary, intervention, trade and capital-flow measures.
2019 Q87	RBI payment-data storage direction	Answer withheld pending official UPSC key. Treat it as a payment-system regulatory direction, not general data law.
2019 Q90	Conditions raising the money multiplier	Answer withheld pending official UPSC key. Test reserve, currency leakage, excess reserve and lending behaviour.
2020 Q57	Expansionary monetary-policy instruments	Answer withheld pending official UPSC key. Distinguish rate cuts, CRR cuts, OMO purchases and liquidity facilities.
2021 Q1	RBI Governor appointment and constitutional powers	Answer withheld pending official UPSC key. RBI is statutory; appointment does not create constitutional status.
2021 Q11	Money multiplier and reserve ratios	Answer withheld pending official UPSC key. Reject a universal mechanical multiplier.
2021 Q15	Lender of last resort	Answer withheld pending official UPSC key. Separate temporary liquidity from solvency support.
2022 Q3	RBI tools and rupee management	Answer withheld pending official UPSC key. RBI smooths disorderly movement without a fixed-rate target.
2022 Q68	Institution responsible for price stability	Answer withheld pending official UPSC key. Distinguish the notified target, MPC rate decision and RBI implementation.
2023 Q22	Post-pandemic central-bank rate increases	Answer withheld pending official UPSC key. Trace inflation expectations, demand and exchange spillovers.
2023 Q24	Sterilisation and OMOs	Answer withheld pending official UPSC key. Distinguish forex intervention from its domestic-liquidity offset.

Boundary note: The 2024 NBFC/LAF question is owned by Economy Topic 5. This topic uses it only as a reminder that facility access is counterparty-specific.

ORIGINAL MAINS 1 - 10 MARKS

Question: Explain why liquidity management remains necessary after the MPC announces the policy repo rate. Answer in 150 words.

Demand decoding

Identify the directive, separate legal authority from operational instruments, trace at least one complete transmission chain, and end with a qualification tied to the stated shock or institutional limit.

Answer plan and validation

- **Plan:** policy signal -> dated operating framework -> transmission analysis -> qualification.
- **Validated native-body count:** 143 alphanumeric words.

Model answer

Liquidity management remains necessary because the MPC's repo decision is a policy signal, whereas banks settle reserves at the overnight weighted average call rate, or WACR. RBI operations must keep WACR near repo so that the signal reaches money-market yields and lending conditions.

The RBI liquidity framework dated 30 September 2025 identifies seven-day VRR or VRRR as the principal tool for transient mismatches caused by currency demand, tax flows, government balances or settlements. SDF and MSF bound the corridor; persistent imbalances may require OMOs, longer operations or forex swaps. This distinction matches instrument tenor to the liquidity shock.

Operational alignment therefore prevents accidental tightening or easing and supports the interest-rate channel. However, liquidity management implements rather than changes the MPC stance. Even perfect WACR alignment cannot guarantee final transmission because deposit costs, bank capital, risk pricing and credit demand still condition loan rates.

ORIGINAL MAINS 2 - 10 MARKS

Question: Distinguish liquidity support from solvency support in central banking. Answer in 150 words.

Demand decoding

Identify the directive, separate legal authority from operational instruments, trace at least one complete transmission chain, and end with a qualification tied to the stated shock or institutional limit.

Answer plan and validation

- **Plan:** definitions -> Bagehot principle -> institutional response -> distributional qualification.
- **Validated native-body count:** 145 alphanumeric words.

Model answer

Liquidity is the capacity to meet payments when due; solvency means assets and sustainable earnings exceed liabilities. A sound bank can still face a temporary reserve shortage because its assets are long-dated or illiquid. RBI repo or lender-of-last-resort support can bridge that timing mismatch, prevent fire sales and protect payment-system continuity.

An insolvent bank has losses that have eroded capital. Additional cash cannot repair impaired assets; support may merely conceal losses and create moral hazard. The appropriate response is recapitalisation, restructuring or resolution with loss allocation, although temporary liquidity may still be needed for an orderly process.

Bagehot's lender-of-last-resort principle supports lending against good collateral at a penalty rate. In practice, collateral, haircuts, pricing, supervision and an exit plan should discipline assistance. The qualification is distributional: aggregate banking-system surplus does not prove every institution is liquid or solvent because reserves and confidence are unevenly distributed.

ORIGINAL MAINS 3 - 15 MARKS

Question: Examine the statutory design and accountability of India's flexible inflation-targeting framework. Answer in 250 words.

Demand decoding

Identify the directive, separate legal authority from operational instruments, trace at least one complete transmission chain, and end with a qualification tied to the stated shock or institutional limit.

Answer plan and validation

- **Plan:** statutory anchor -> institutional design -> accountability -> supply-shock qualification.
- **Validated native-body count:** 216 alphanumeric words.

Model answer

India's flexible inflation-targeting framework rests on the RBI Act, 1934 as amended in 2016. Section 45ZA assigns the Central Government, in consultation with RBI, the five-year notification of the consumer-price-index target. The Gazette notification dated 25 March 2026 retained 4 per cent inflation with 2 and 6 per cent tolerance limits for April 2026-March 2031.

Section 45ZB establishes a six-member MPC: the Governor, monetary-policy Deputy Governor, one RBI officer nominated by the Central Board, and three Central Government appointees. External members have four-year non-renewable terms. Each member votes; the Governor has a casting vote only on a tie. Quorum is four, including the Governor or the MPC Deputy Governor.

The MPC determines the policy repo rate; RBI implements the decision and manages liquidity, while the Government neither votes on individual rate decisions nor conducts daily operations.

Accountability follows publication and explanation. RBI releases the resolution, votes and statements; minutes follow on the fourteenth day and the Monetary Policy Report every six months. Under section 45ZN, three consecutive quarterly-average breaches require RBI to report reasons, remedies and the estimated return horizon to Government.

The design supplies a credible nominal anchor while permitting growth-sensitive adjustment. However, accountability is not mechanical rate action: food, fuel and external supply shocks require diagnosis, complementary fiscal-supply measures and vigilance against second-round persistence.

ORIGINAL MAINS 4 - 15 MARKS

Question: Analyse the channels and frictions of monetary-policy transmission in India. Answer in 250 words.

Demand decoding

Identify the directive, separate legal authority from operational instruments, trace at least one complete transmission chain, and end with a qualification tied to the stated shock or institutional limit.

Answer plan and validation

- **Plan:** operating impulse -> five channels -> India-specific frictions -> evidence -> qualification.
- **Validated native-body count:** 215 alphanumeric words.

Model answer

Monetary transmission begins when the MPC's repo decision and communication alter expected short-term rates, while RBI liquidity operations align overnight WACR with repo. The impulse then travels through five channels: interest rates affect consumption and investment; credit conditions alter loan supply; expectations influence wages and prices; exchange-rate movements affect imported inflation and net exports; and asset prices alter wealth and financing conditions.

India's external-benchmark regime accelerates repricing for specified floating-rate retail and MSME loans, whereas MCLR remains an internal cost benchmark for relevant loans. Yet transmission is uneven because deposit competition, administered small-savings rates, legacy fixed-rate contracts, bank capital, asset quality, borrower risk, fiscal borrowing and global yields affect funding costs or spreads.

A repo cut can therefore lower the overnight rate quickly while deposit and loan repricing remain partial, delayed or offset by independent risk premia.

Economic Survey 2025-26 associated repo easing, CRR reduction and OMOs with softer lending rates, while RBI's August 2026 statement still described credit-market transmission as moderated. This evidence shows that WACR alignment is necessary but insufficient.

Therefore effective transmission requires sound bank balance sheets, transparent benchmarks, competitive funding markets and credible communication. The qualification is temporal and structural: policy works with variable lags, and loan rates may move differently across borrowers without implying that the repo signal failed entirely.

ORIGINAL MAINS 5 - 20 MARKS

Question: Critically evaluate RBI's toolkit for managing transient and durable liquidity while preserving the monetary-policy signal. Answer in 250 words.

Demand decoding

Identify the directive, separate legal authority from operational instruments, trace at least one complete transmission chain, and end with a qualification tied to the stated shock or institutional limit.

Answer plan and validation

- **Plan:** operating objective -> transient tools -> durable tools -> costs -> qualified prescription.

- **Validated native-body count:** 218 alphanumeric words.

Model answer

RBI should manage liquidity so overnight WACR remains near the policy repo rate without confusing reserve operations with the MPC stance. The revised framework dated 30 September 2025 makes seven-day VRR or VRRR the principal response to transient mismatches from currency demand, taxes, government balances and settlements. Other overnight-to-fourteen-day operations remain discretionary. SDF provides collateral-free standing absorption at the floor, while MSF supplies collateralised overnight funds at the ceiling.

Durable liquidity requires balance-sheet tools. OMO purchases inject reserves outright and sales absorb them; longer variable-rate operations and forex swaps address persistent needs. Operation Twist changes the maturity composition of RBI holdings, so its net liquidity effect depends on design. Under MSS, securities absorb surplus while proceeds remain ring-fenced rather than financing expenditure.

For example, a durable shortage treated only with repeated short repos can leave banks dependent on refinancing and distort the operating signal.

The toolkit preserves transmission only when diagnosis is correct. Persistent surplus may weaken pass-through or encourage leverage; repeated deficits may raise volatility. OMOs interact with government borrowing, forex operations may require sterilisation, and CRR is powerful but blunt.

Hence RBI should distinguish transient from durable shocks, communicate two-way operations and assess success through WACR alignment plus broader transmission. Gross injection or absorption alone is misleading because liquidity stance and policy stance can legitimately diverge.

ORIGINAL MAINS 6 - 20 MARKS

Question: Discuss the inflation-growth-exchange-rate trade-offs facing monetary policy after a supply shock. Answer in 250 words.

Demand decoding

Identify the directive, separate legal authority from operational instruments, trace at least one complete transmission chain, and end with a qualification tied to the stated shock or institutional limit.

Answer plan and validation

- **Plan:** trade-off -> MPC diagnosis -> external spillovers -> fiscal assignment -> qualified strategy.
- **Validated native-body count:** 213 alphanumeric words.

Model answer

A supply shock raises prices while weakening output; aggressive tightening can deepen the slowdown without producing food, fuel or logistics capacity. Yet inaction may let a temporary relative-price rise spread into expectations, wages, margins and exchange-rate depreciation.

The MPC should diagnose persistence and breadth. If demand is contained and expectations anchored, it can look through part of the first-round effect while communicating conditional vigilance. If core pressures or expectations broaden, tighter policy can restrain demand and defend the 4 per cent anchor. The ex ante real policy rate and uncertain neutral rate inform this judgement but cannot determine it mechanically.

External spillovers sharpen the trade-off. Higher global yields or oil prices may weaken the rupee and raise imported inflation. RBI may smooth excessive volatility through forex intervention, but India does not target a fixed exchange rate. Since intervention changes rupee liquidity, separate sterilisation may be required.

Government should address the shock through buffers, calibrated taxes or trade policy, logistics and targeted relief, while avoiding a fiscal impulse that frustrates disinflation. Coordination means consistent diagnosis and instrument assignment, not fiscal dominance.

Thus flexible inflation targeting should protect credibility against second-round effects while minimising avoidable output loss. The qualification is shock-specific: demand-driven inflation warrants firmer monetary restraint than a reversible supply disruption with anchored expectations.